

CHART PATTERNS

The next set of technical analysis tools is called 'Chart Patterns'. The closing prices create patterns on the chart that can be used to generate entry and exit signals. Chart patterns are a reflection of the psychology of the market at the moment.

Chart patterns are recognizable trendlines or curves that are formed. Based on these, we can determine the levels at which the asset prices are getting support and the zones of resistance. Chart patterns generate signals based on such support and resistance, to indicate whether the closing price will have a reversal or if the trend will continue.

Chart patterns have been used for a long time as it helps identify the patterns to aid in decision making while accepting trades. Chart patterns only take into account the closing price and do not give weightage to the volume data. Chart patterns are definite and recognizable patterns and only when such patterns are formed exactly, we can expect them to rhyme with their historical behaviour will strictly limit the use of chart patterns to large-cap, indices, currency and commodities.

